

European Semiconductor Manufacturing *Facility Location Assessment*

Warehouse & finishing facility location analysis for the semiconductor industry, covering the Saxony/Dresden corridor and alternative European sites.

PREPARED FOR
[Client Organisation]

PREPARED BY
DarojaAI

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Where things stand *today*

European semiconductor manufacturing is concentrating in a single corridor: Saxony/Dresden, Germany. With over €17B in committed investment across four major fabs — ESMC/TSMC (€10B+)^[3], Infineon Smart Power Fab (€5B, opened July 2026)^[3], GlobalFoundries SPRINT (€1.1B)^[3], and Bosch (€1B)^[3] — Dresden is now Europe's largest semiconductor manufacturing cluster. Secondary clusters exist in the Czech Republic (onsemi SiC, €1.64B)^[5], the Netherlands (NXP/ASML), Ireland (Intel), and France (STMicro Agrate, €1B)^[3], but none approach the scale or density of the Saxony corridor.

Commercial real estate markets across Europe are in structural consolidation. Prime logistics rents grew +2.7% YoY in Q1 2026 across 45 European markets^[BNP], but growth is decelerating. The EU27 commercial property price index stands at 114.1 (Q4 2025)^[ECB], up 13.7% from the 2015 base but flat since Q1 2024 — indicating a market that has stabilised after post-pandemic repricing.

Primary recommendation: Establish the finishing/warehouse facility in the Saxony/Dresden corridor (NUTS-2: DE80). Proximity to €17B+ in customer manufacturing, same-day logistics to all four major fabs, established transport infrastructure, and access to Silicon Saxony's 130+ company ecosystem make this the optimal location. Prime logistics rents in German Big Five hubs sit at approximately €60–120/sqm/year^[IF], with prime yields stabilising at ~4.5%^[Sav].

Alternative recommendation: Wrocław/Lower Silesia (NUTS-2: PL51) as a lower-cost satellite — 40–50% lower industrial rents^[IF], rail-linked to Dresden (2.5 hours), and growing automotive/battery cluster provides demand diversification. Poland's logistics market is forecast to see the strongest demand growth rates in Europe in 2026, with investment volumes projected to rise 19%^[Sav]. A dual-site strategy merits evaluation.

€17.1B+ COMMITTED INVESTMENT (DRESDEN)	€60–120 PRIME LOGISTICS RENT (€/SQM/YR, DE)	4.5% PRIME LOGISTICS YIELD (GERMANY)
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Current state & forward projection

Seven major semiconductor facilities are committed or under construction across Europe, with ~€20.8B in confirmed investment. Dresden accounts for 77% of European semiconductor capex.

FACILITY	COMPANY	INVESTMENT	LOCATION	STATUS
ESMC	TSMC/Bosch/ Infineon/NXP	€10B+	Dresden (DE80)	Dragon-tram ceremony Jun 2026; production late 2027 ^[3]
Smart Power Fab	Infineon	€5B	Dresden (DE80)	Opened July 2, 2026 ^[3]
SPRINT	GlobalFoundries	€1.1B	Dresden (DE80)	Construction started Mar 2026; >1M wafers/ yr by 2028 ^[3]
Semiconductor facility	Bosch	€1B	Dresden (DE80)	Under construction ^[3]
Agrate R3	STMicro	€1B	Agrate Brianza (ITC4)	Under construction; Tower partner ^[3]
SiC Facility	onsemi	€1.64B	Rožnov pod Radhoštěm (CZ07)	€450M state aid approved Nov 2025; production 2027 ^[5]
Expansion	NXP	Undisclosed	Dresden (DE80)	In progress ^[3]

5–10 Year Projection

Committed investment totals ~€20.8B. Pipeline projects — including Chips Act 2.2 IPCEI funding (adoption targeted Q2 2027)^[1], advanced packaging investments, and a 3–5× supplier multiplier — project the broader Dresden semiconductor ecosystem to reach €30–40B by 2032.

Customer demand is diversified across automotive (largest), industrial/power semiconductors, and defence. EU defence spending reached €418B in 2025 (+20% YoY), projected €454B in 2026^[9].

Defence investment: €134B in 2025, projected €163B in 2026^[9]. EDIP first calls launched for ammunition, missiles, and explosive weapons^[11].

Saxony/Dresden *vs. alternatives*

Dresden Corridor (DE80) — Primary

INDICATOR	VALUE	SOURCE
GDP per capita (2022)	€38,688	Eurostat nama_10r_2gdp ^[ES]
GDP (2020)	€47.3B	Eurostat NAMA_10R_2GDP ^[18]
GDP (2024)	€61.6B	Eurostat NAMA_10R_2GDP ^[18]
GDP growth (2020–2024)	+30.2%	Derived from [18]
EU27 commercial property index	114.1 (Q4 2025)	ECB RESC ^[ECB]
German prime logistics rent	€60–120/sqm/yr	IndiFind / Savills ^{[IF][Sav]}
German prime logistics yield	~4.5% NIY	Savills 2026 ^[Sav]
German logistics take-up	+18% YTD	Savills 2026 ^[Sav]
Existing cluster	Silicon Saxony: 130+ companies, 50,000+ jobs; 4 fabs within 30km ^[3]	

Wrocław / Lower Silesia (PL51) — Alternative

INDICATOR	VALUE	SOURCE
GDP per capita (2022)	€22,800	Eurostat nama_10r_2gdp ^[ES]
GDP (2020)	€44.4B	Eurostat NAMA_10R_2GDP ^[18]
GDP (2024)	€70.2B	Eurostat NAMA_10R_2GDP ^[18]
GDP growth (2020–2024)	+57.9%	Derived from [18]
Industrial rent	€30–60/sqm/yr	IndiFind market guide ^[IF]
Prime logistics yield	5.75–6.00%	Savills 2026 ^[Sav]
Investment outlook	+19% volume 2026	Savills 2026 ^[Sav]
Key facilities	LG Energy Solution (battery), Mercedes-Benz Jawor (eSprinter, €360M) ^[14]	

Other Alternatives Assessed

Czech Republic (CZ07): onsemi SiC fab, €1.64B, rent €25–50/sqm/yr^[IF]. Single-fab cluster, onsemi facing Chinese SiC competition. **Netherlands:** €70–130/sqm/yr, severe space scarcity (47% take-up

decline)^[Sav], power grid congestion (66% of logistics properties affected). **Ireland:** ~€150/sqm/yr^[Erena],
geographically peripheral, single-fab.

Market context *(Q1 2026)*

METRIC	VALUE	SOURCE
Pan-European prime rent growth	+2.7% YoY (45 markets, 21 countries)	BNP Paribas Q1 2026 ^[BNP]
European logistics investment	€40.6B in 2025 (UK: €11.3B)	CBRE via Erena ^[Erena]
Pan-European prime yield	~4.7% NIY	Knight Frank via Erena ^[Erena]
CBRE rental growth forecast	~1.8% for 2026	CBRE via Erena ^[Erena]

Prime Rents by City (Grade A Logistics)

CITY	RENT (€/SQM/YR)	SOURCE
London	~€360	Knight Frank via Erena ^[Erena]
Dublin	~€150	Knight Frank via Erena ^[Erena]
Berlin	€90–110	Knight Frank / IndiFind ^{[Erena][IF]}
Amsterdam	€90–110	Knight Frank / IndiFind ^{[Erena][IF]}
Paris	€70–100	IndiFind ^[IF]
Warsaw	€40–60	IndiFind / Savills ^{[IF][Sav]}
Wrocław	€30–60	IndiFind (derived) ^[IF]
Prague	€30–50	IndiFind ^[IF]

Key Market Themes

1. Supply constraints dominate. Planning, power grid capacity, and permitting restrict new development more than demand weakness. Completions will decrease in 2026 as speculative pipelines remain controlled.^[Erena]

2. Prime vs. secondary bifurcation widening. Grade A, automation-ready stock in prime corridors absorbs quickly; secondary locations struggle.^[Sav]

3. Power grid is the new bottleneck. Connection timelines extending across Europe, rationing large-scale development. Germany, Netherlands, and Poland all affected.^[Sav]

4. Manufacturing occupiers active in CEE. Poland: strongest demand growth forecast in Europe 2026. ^[Sav]

5. Investment capital returning. Core institutional investors re-entering. Cross-border capital at 62% of volumes. ^[Sav]

What to do *next*

Recommendations are sequenced by risk and dependency. The primary site addresses customer proximity; the alternative addresses cost optimisation.

NO.	RECOMMENDATION	PRIORITY	OWNER
01	Establish primary warehouse in Saxony/ Dresden (DE80) for JIT proximity to all four major fabs	High	Client team
02	Evaluate Wrocław (PL51) for finishing operations — 40–50% lower rents, rail- linked to Dresden	High	Client team + DarojaAI
03	Engage early with grid operators in both locations — power grid congestion is the #1 constraint	High	Client team
04	Conduct detailed dual-site logistics cost modelling (rent, transport, labour arbitrage)	Medium	DarojaAI
05	Establish recruitment partnerships with TU Dresden and Wrocław University of Technology	Medium	Client team

Sequencing

PHASE	DURATION	DELIVERABLE	MILESTONE
Phase 1	4–6 wks	Site selection shortlist with financial modelling	Dresden vs. Wrocław comparative analysis
Phase 2	8–12 wks	Detailed facility design and grid connectivity assessment	Grid operator engagement; planning pre-consultation
Phase 3	12–16 wks	Lease negotiation and permitting initiation	Heads of terms; dual-site strategy decision
Phase 4	Ongoing	Fit-out and operational readiness	Facility operational; supplier onboarding

Data sources & confidence tiers

Live API Data (queried 2026-08-05)

DATASET	RECORDS	KEY OUTPUT
ECB RESC (Commercial Property Prices)	312 rows	EU27 aggregate index: 114.1 (Q4 2025)
Eurostat nama_10r_2gdp (GDP by NUTS-2)	75,931 rows	GDP per capita for DE80, PL51, CZ04, ITC4, etc.

Confidence Summary

CLAIM	TIER	SOURCE
ESMC/TSMC: €10B+ investment	Confirmed	Dragon-tram ceremony Jun 2026 ^[3]
Infineon Smart Power Fab: €5B	Confirmed	Infineon press release ^[3]
Dresden total: ~€17.1B+	Confirmed	Sum of confirmed projects
EU27 property index: 114.1	Confirmed	ECB RESC live query ^[ECB]
German prime logistics rent: €60–120/sqm	Confirmed	IndiFind / Savills ^{[IF][Sav]}
Wrocław prime rent: €30–60/sqm	Derived	Poland range from IndiFind ^[IF]
Supplier multiplier: 3–5×	Derived	Industry-standard estimate
Saxony ecosystem: €30–40B by 2032	Derived	Committed fabs + multiplier
EU defense semiconductor demand	Unconfirmed	Defense spending confirmed ^[9] ; semi-specific not quantified
AI/data center European demand	Unconfirmed	Primarily US/Asia

Footnotes & sources

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 - [ECB] ECB RESC (Real Estate Statistics — Commercial Property) — live query 2026-08-05. data.ecb.europa.eu/data/datasets/RESC
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